HR Leave and Salary Deduction Policy

Synthetic Test Document — For RAG Evaluation Purposes Only

1. Purpose and Scope

This document defines the Company's policy for annual paid leave entitlement, the treatment of unpaid leave, and the method used to calculate salary deductions arising from unpaid leave. This policy applies to all full-time employees on the Company's monthly payroll.

2. Annual Paid Leave Entitlement

Every employee is granted a fixed number of paid leave days per calendar year, as specified in the employee's individual HR record. This entitlement is the maximum number of leave days that may be taken in the year without any impact on salary. Entitlement amounts differ across employees based on role, grade, or contractual terms, and the applicable entitlement for a given employee is the value recorded against that employee, not a single company-wide number.

3. Paid Leave vs. Unpaid Leave

Leave days taken up to and including an employee's annual paid leave entitlement are treated as paid leave and have no effect on salary. Only leave days taken **beyond** the employee's annual paid leave entitlement are treated as unpaid leave. If an employee's total leave taken in the year is less than or equal to their entitlement, the employee has zero unpaid leave days and no deduction applies.

The number of unpaid leave days for an employee is calculated as:

Unpaid Leave Days = MAX(0, Total Leave Taken − Annual Paid Leave Entitlement)

4. Salary Deduction Formula

Salary deduction for unpaid leave is calculated using a per-day rate derived from the employee's Monthly Salary, divided by a fixed 30-day month, regardless of the actual number of calendar days in that month. The formula is:

Deduction = (Monthly Salary ÷ 30) × Unpaid Leave Days

The resulting per-day rate applies uniformly to every unpaid leave day recorded for that employee in the year. No additional penalty, multiplier, or slab-based escalation is applied beyond this formula.

5. Weekends and Public Holidays

> Weekends (Saturday and Sunday, or the Company's designated weekly-off days) are not counted as leave days under any circumstance and do not consume any part of an employee's leave entitlement.

Public holidays declared by the Company are not counted as leave days and do not consume any part of an employee's leave entitlement, even if they fall adjacent to a period of leave.

Only working days on which the employee was scheduled to work and did not report to work count toward the “Leave Taken” figure used in this policy.

6. Half-Day Leave

A half-day leave counts as exactly 0.5 (zero point five) of a full leave day for all purposes under this policy, including entitlement consumption, the calculation of unpaid leave days, and the resulting deduction calculation. Two half-day leaves taken on different working days are equivalent to one full leave day. Half-day leave is added directly to an employee's cumulative “Leave Taken” total.

7. Summary of Rules

Rule	Treatment
Leave within entitlement	Paid — no deduction
Leave beyond entitlement	Unpaid — deducted per formula in Section 4
Weekend days	Not counted as leave
Public holidays	Not counted as leave
Half-day leave	Counted as 0.5 day
Deduction basis	Monthly Salary ÷ 30, per unpaid day

8. Worked Example

The following example illustrates the application of this policy end-to-end.

An employee has a Monthly Salary of Rs. 60,000 and an Annual Paid Leave Entitlement of 20 days. In a given year, the employee takes 23 days of leave in total, none of which fall on weekends or public holidays.

Step	Calculation	Result
Total leave taken	—	23 days
Annual paid entitlement	—	20 days
Unpaid leave days	MAX(0, 23 – 20)	3 days
Per-day salary rate	60,000 ÷ 30	Rs. 2,000 / day
Total deduction	3 × 2,000	Rs. 6,000

The employee's final salary for the month in which the deduction is applied would therefore be Rs. 60,000 – Rs. 6,000 = Rs. 54,000, before any other statutory or voluntary deductions.

9. Second Worked Example (Half-Day Leave)

An employee has a Monthly Salary of Rs. 54,000 and an Annual Paid Leave Entitlement of 18 days. The employee takes 18.5 days of leave in total, including one half-day.

Step	Calculation	Result
Total leave taken	—	18.5 days
Annual paid entitlement	—	18 days
Unpaid leave days	MAX(0, 18.5 – 18)	0.5 days
Per-day salary rate	54,000 ÷ 30	Rs. 1,800 / day
Total deduction	0.5 × 1,800	Rs. 900

10. Notes and Assumptions

Leave entitlement is specific to each employee and is recorded in the employee's HR record; it is not a single fixed number for the whole Company. The per-day rate uses a flat 30-day denominator for every calendar month, irrespective of that month's actual length or the number of working days within it. This policy governs unpaid leave deductions only and does not cover other categories of payroll deduction such as tax withholding, provident fund contributions, or loan recoveries.